2024 Federal Individual Income Tax Return (Form 1040)

Married Filing Jointly - Robert Smith Jr. and Lisa Marie Smith

123 Smith Street, San Antonio, TX 78253 (Bexar County) | Texas (no state income tax)

Status: DRAFT prepared by the mid-level tax preparer for senior accountant review. Not yet approved and not transmitted to the IRS.

Item	Document	Filing / Attach status
1	Preparer review memo: results, assumptions, open items	Internal - not filed
2	Form 1040 (2024) - U.S. Individual Income Tax Return	E-file (required)
3	Schedule 1 (Form 1040) - Additional Income and Adjustments	E-file (required)
4	Schedule 2 (Form 1040) - Additional Taxes	E-file (required)
5	Schedule 3 (Form 1040) - Additional Credits and Payments	E-file (required)
6	Schedule 8812 (Form 1040) - Credits for Qualifying Children and Other Dependents	E-file (required: 3 qualifying children)
7	Schedule B (Form 1040) - Interest and Ordinary Dividends	E-file (required: dividends over $1,500)
8	Schedule D (Form 1040) - Capital Gains and Losses	E-file (required)
9	Form 8949 - Sales and Other Dispositions of Capital Assets	E-file (required with Schedule D)
10	Form 2441 - Child and Dependent Care Expenses	E-file (required)
11	Form 8959 - Additional Medicare Tax	E-file (required)
12	Form 8960 - Net Investment Income Tax	E-file (required)
13	Form 8995 - Qualified Business Income Deduction (simplified)	E-file (required: 199A dividends)
14	Supporting worksheets A-C (tax computation, deduction comparison, payments/penalty)	Internal - retain with workpapers
15	Form 8879 - IRS e-file Signature Authorization	Signed by taxpayers; retained (not transmitted)
-	Not required (see memo): Schedule A, Form 1116, Form 6251, Form 2210, Form 8962, Schedule SE, Form 8863	-

Prepared by: _____ (Mid-level Tax Preparer) **Date:** _____

Reviewed by: _____ (Senior Accountant) **Date:** _____

Form replicas: IRS fillable 2024 forms could not be downloaded in this offline environment. The forms in this package reproduce the 2024 line structure and amounts for data entry into the firm's e-file software. Confirm every line number and checkbox against the official 2024 IRS forms and instructions before transmission.

Preparer Review Memo - 2024 Return (MFJ)

To: Senior Accountant | From: Mid-level Tax Preparer | Client: Robert (Bob) Smith Jr. and Lisa Marie Smith | Tax year 2024 | Due date: April 15, 2025 (confirm extension status)

1. Results summary

Item	Amount ($)
Total wages (W-2 box 1: 3 W-2s)	327,002.61
Taxable interest (Schedule B)	1,116.07
Ordinary dividends (qualified: $4,897.86)	6,744.05
Net capital gain (ST loss $(6,694.10) + LT gain $32,609.03)	25,914.93
Educator expense adjustment (Schedule 1, capped at $300)	(300.00)
Adjusted gross income (AGI)	**360,477.66**
Standard deduction (MFJ) - itemized total $28,727.01 is lower	29,200.00
QBI deduction (Form 8995, 20% x $214.79 REIT/199A dividends)	42.96
Taxable income	331,234.70
Regular tax (ordinary $58,186.26 + 15% capital gain/dividends $4,621.92)	62,808.18
Child tax credit - 3 children under 17 (Schedule 8812)	(6,000.00)
Child & dependent care credit (Form 2441: 20% x $1,640)	(328.00)
Foreign tax credit - de minimis, 1099-DIV (Schedule 3)	(211.05)
Net investment income tax (Form 8960)	1,283.45
Additional Medicare tax (Form 8959)	**930.68**
Total tax (Form 1040 line 24)	58,483.26
Federal withholding (3 W-2s)	25,394.28
Estimated tax payments (4 installments, incl. 1/5/2025 for 2024)	**13,685.00**
Total payments	39,079.28
AMOUNT YOU OWE (Form 1040 line 37)	**19,403.98**

2. Key judgments and assumptions

1. Filing status: married filing jointly (married at 12/31/2024; did not live apart the last six months; both U.S. citizens). Texas has no individual income tax, so no state return.

2. Dependents: Robert Smith III (son, DOB 4/7/2018), Melissa Smith (daughter, DOB 4/7/2018) and Judith Smith (daughter, DOB 6/9/2010, age 14). All three are under 17 at year-end, so each supports the $2,000 child tax credit. Judith is 14, so her $600 of childcare is excluded from the dependent care credit (under-13 test).

3. Standard deduction chosen. Itemized total = mortgage interest $17,678.69 + real estate taxes $6,748.32 + cash charity $4,300.00 (Red Cross $2,500 + church $150 x 12) = $28,727.01, which is below the $29,200 MFJ standard deduction. No acknowledgments are needed for this return because the standard deduction is used; keep the church and Red Cross records for any future year that itemizes.

4. Student loan interest ($4,312 per Form 1098-E) is not deducted. MFJ phase-out for 2024 runs from $165,000 to $195,000 of MAGI; household AGI is about $360,478, so the deduction is fully phased out.

5. Educator expenses: Lisa spent about $730 in her classroom; the Schedule 1 deduction is limited to $300 per eligible educator.

6. Long-term care premiums ($5,500 each for Bob and Lisa, paid 12/21/2024) are not deductible: no itemizing benefit, and the 7.5%-of-AGI medical floor ($27,035.82) exceeds the age-limited premium amounts.

7. Form 1099-B (Bob): short-term, acquired 3/8/2024, sold 7/6/2024, proceeds $56.78 / basis $6,750.88 as printed - see open item 1. Form 1099-B (Lisa): long-term, acquired 4/8/2019, sold 8/25/2024, gain $32,609.03. Basis-reported checkbox appears unchecked on both forms, so both transactions are treated as not reported and go on Form 8949 (Boxes C and F).

8. Lisa's 401(k) deferral of $26,406.43 (W-2 box 12 code D) is excluded from box 1 wages, which is correct. Box 12 code DD ($57,342.01) is informational employer health coverage and is not taxable.

9. Foreign tax paid $211.05 (1099-DIV box 7) is claimed directly on Schedule 3 under the de minimis exception (total $600 or less, all from passive 1099 income), so Form 1116 is not required.

10. Estimated payments of $13,685 total: $3,380 (4/2/2024), $3,275 (7/4/2024), $3,455 (10/2/2024) and $3,575 (1/5/2025, applied to tax year 2024).

11. Presidential Election Campaign fund: not on the intake form - defaulted to 'No' (confirm). Refund direct deposit: not applicable (balance due; intake says no direct deposit).

12. Schedule H not required: childcare is paid to a licensed center, not to a household employee.

3. Open items - resolve before e-file (ranked)

1. **HIGH - Bob's 1099-B (L&R Investment Advisors):** proceeds $56.78 against basis $6,750.88 on 11 shares looks like a keying or reporting error. Confirm the corrected 1099-B. A proceeds error of several thousand dollars would change the short-term loss and the tax on the net gain (short-term items are taxed at ordinary rates, here 24%).

2. **HIGH - Lisa's 1099-B (Retro Investing) box 1g:** wash sale loss disallowed $468.41 is shown on a transaction that produced a gain. It is not applied. If the broker is correct, add $468.41 to the long-term gain; the effect is about $88 of tax (15% + 3.8% NIIT).

3. **HIGH - Estimated tax underpayment penalty:** payments ($39,079) are below 90% of the 2024 tax ($52,634.93). The 2023 tax is needed to test the 100%/110% prior-year safe harbor (AGI is over $150,000, so 110% applies). Preliminary exposure at 8%: about $578 (Worksheet C). No penalty is

entered on line 38 until the test is complete.

4. **HIGH - Amount owed $19,403.98:** due April 15, 2025. Confirm whether an extension (Form 4868) was filed; late payment and filing penalties would apply otherwise. Recommend IRS Direct Pay or the balance-due payment plan.

5. **MEDIUM - Mortgage interest $17,678.69 (scanned Form 1098):** OCR-read from a scan; verify against the lender's statement. Itemizing would only win if this figure were about $473 higher or other deductions were added.

6. **MEDIUM - Lisa's 1099-INT (Yellow Rose Bank) box 1:** the printed amount is partly illegible ('968.2,'). Read as $968.20; confirm with the client copy or bank.

7. **MEDIUM - Dependent data:** verify SSNs and dates of birth. Robert III and Melissa both show DOB 4/7/2018 (twins), and SSNs are on the intake only. Verify against Social Security cards.

8. **MEDIUM - Child care provider TIN:** Children First Child Care Center of Texas, EIN 45-4564564 (Dallas address). Confirm the TIN for Form 2441 Part I.

9. **MEDIUM - Foreign tax:** the intake says no foreign income, but 1099-DIV box 7 shows $211.05 foreign tax ('various'). Confirm no foreign accounts or income beyond the 1099 (the claimed credit is valid under the de minimis rule if so).

10. **LOW - Documentation:** keep the church giving statements ($150/month), the Red Cross receipt ($2,500 cash, Sept 2024), the $730 classroom receipts, the LTC premium letter (its ZIP 78523 differs from the client's 78253 - confirm the address), and the 1098-E.

11. **LOW - Section 199A dividends:** the 1099-DIV from Yellow Rose Bank reports $214.79 of section 199A dividends. A bank is an unusual payer of REIT dividends, so confirm the classification with the payer; the QBI deduction is $42.96 if confirmed.

12. **LOW - W-2s:** confirm Company X and Company Z employer names and EINs (12-1234567 / 12-1234568) against the original forms; the employer name on Company X is partly garbled in the scan.

4. Documents reviewed and how used

File	Used for
COMPLETED 2024 Client Intake Form	Filing status, dependents, deductions, FAQs (digital assets: no; foreign: no; LTC: yes; estimates: yes)
BOB W2 COMPANY X edit / BOB W2 COMPANY Z edit	Bob wages $132,465.05 and $102,468.69; withholding $9,642.23 and $7,465.85; Medicare wages
LISA W2 COMPRESS MIDDLE SCHOOL edit	Lisa wages $92,068.87; withholding $8,286.20; Medicare wages $118,475.30; 401(k) code D $26,406.43; DD $57,342.01
BOB 1099-INT (TX Lending) / BOB 1099-INT Rose Edit	Interest $107.88 and $39.99 (Schedule B)
LISA 1099-INT Rose edit	Interest $968.20 (partly illegible - open item 6)
LISA 1099-DIV edit	Ordinary $6,744.05; qualified $4,897.86; 199A $214.79; foreign tax $211.05
BOB 1099-B edit	Short-term sale: proceeds $56.78; basis $6,750.88 (open item 1)
LISA 1099-B edit	Long-term sale: proceeds $43,877.03; basis $11,268.00; wash sale $468.41 (open item 2)
MORTGAGE INTEREST FORM (Form 1098)	Mortgage interest $17,678.69; principal $565,774; origination 5/6/2020; RE taxes $6,748.32
LISA STUDENT LOAN INTEREST edit (1098-E)	Interest $4,312 - not deductible (phase-out)
2024 Childcare Statement	Care paid: Robert III $820, Melissa $820, Judith $600 (excluded)
Bob & Lisa LTC PREMIUMS PAID 2024	LTC premiums $5,500 each - not deductible (see assumptions)
Bob and Lisa 2024 Estimated Taxes Paid	Estimates $3,380 + $3,275 + $3,455 + $3,575 = $13,685

Form 1040

U.S. Individual Income Tax Return

Filing status: Married filing jointly (MFJ). Form 1040 line numbering per 2024 form; verify on official form.

2024

Department of the Treasury - Internal Revenue Service
OMB No. 1545-0074

Your first name / MI	Last name	Your SSN
Robert	Smith Jr.	333-44-5555
Spouse first name / MI	**Last name**	**Spouse SSN**
Lisa Marie	Smith	444-55-6666
Home address	**City / State / ZIP**	**County**
123 Smith Street	San Antonio, TX 78253	Bexar
Occupations	**Phone (taxpayer / spouse)**	**Email (not on form; intake only)**
Salesman (Bob) / Teacher (Lisa)	222-867-5309 / 999-867-5309	bobsmith@smith.com / lisasmith@smith.com

Dependents (first name, last name)	SSN	Relationship	Child tax credit
Robert Smith III	111-22-7777	Son (DOB 4/7/2018)	Yes
Melissa Smith	222-33-7777	Daughter (DOB 4/7/2018)	Yes
Judith Smith	777-88-9999	Daughter (DOB 6/9/2010)	Yes

Presidential Election Campaign fund: No (defaulted - confirm). Third party designee: No. Digital assets: No (received or disposed). Taxpayer/spouse: not claimed as dependent by anyone else; not blind; not 65 or older.

	Income	
1a	Total amount from Form(s) W-2, box 1 (Bob $234,933.74; Lisa $92,068.87)	327,002.61
1b-1i	Other income items (household wages, tips, Form 8919, combat pay, etc.) - none	0
1z	Add lines 1a through 1i	327,002.61
2a	Tax-exempt interest	0
2b	Taxable interest (Schedule B)	1,116.07
3a	Qualified dividends (Schedule B / 1099-DIV box 1b)	4,897.86
3b	Ordinary dividends (Schedule B / 1099-DIV box 1a)	6,744.05
4a-6b	IRA distributions, pensions, Social Security - none	0
7	Capital gain or (loss) - Schedule D	25,914.93
8	Additional income from Schedule 1, line 10	0
9	**Total income - add lines 1z, 2b, 3b, 4b, 5b, 6b, 7 and 8**	**360,777.66**
10	Adjustments to income from Schedule 1, line 26	300.00
11	**Adjusted gross income (AGI) - subtract line 10 from line 9**	**360,477.66**
	Tax and credits	
12	Standard deduction (married filing jointly)	29,200.00
13	Qualified business income deduction (Form 8995)	42.96
14	Add lines 12 and 13	29,242.96
15	**Taxable income - subtract line 14 from line 11**	**331,234.70**
16	Tax (Worksheet A - qualified dividends and capital gain tax)	62,808.18
17	Amount from Schedule 2, line 3 (alternative minimum tax)	0
18	Add lines 16 and 17	62,808.18
19	Child tax credit / credit for other dependents (Schedule 8812)	6,000.00
20	Amount from Schedule 3, line 8 (nonrefundable credits)	539.05
21	Add lines 19 and 20	6,539.05
22	Subtract line 21 from line 18 (not less than zero)	56,269.13
23	Other taxes - Schedule 2, line 21 (NIIT $1,283.45 + additional Medicare $930.68)	2,214.13
24	**TOTAL TAX - add lines 22 and 23**	**58,483.26**

Payments		
25a	Federal income tax withheld - Forms W-2 (Bob $9,642.23 + $7,465.85; Lisa $8,286.20)	25,394.28
25b	Federal income tax withheld - Forms 1099	0
25c	Other withholding	0
25d	Total withholding - add lines 25a through 25c	25,394.28
26	2024 estimated tax payments (4/2/24, 7/4/24, 10/2/24, 1/5/25)	13,685.00
27-31	Earned income credit, additional child tax credit, education credit, Schedule 3 line 15 - none	0
32	Add lines 27 through 31	0
33	**TOTAL PAYMENTS - add lines 25d, 26 and 32**	**39,079.28**
Refund or amount you owe		
34	Overpayment (if line 33 is more than line 24)	0
37	**AMOUNT YOU OWE - subtract line 33 from line 24 (pay by April 15, 2025)**	**19,403.98**
38	Estimated tax penalty (Form 2210) - not entered; see memo open item 3	0
Refund direct deposit: not applicable. Sign: both spouses sign joint return (Form 8879). Preparer: [name, PTIN, firm] - to be completed on approval.		

Schedule 1 (Form 1040)

Additional Income and Adjustments to Income

Attach to Form 1040. Names: Robert Smith Jr. and Lisa Marie Smith. SSNs 333-44-5555 / 444-55-6666

2024

Department of the Treasury - Internal Revenue Service

Part I - Additional Income		
1	Taxable refunds, credits, or offsets of state and local income taxes	0
2a	Alimony received	0
3	Business income or (loss) - Schedule C (none)	0
4	Other gains or (losses) - Form 4797 (none)	0
5	Rental real estate, royalties, partnerships, S corporations, trusts (none)	0
6	Farm income or (loss) (none)	0
7	Unemployment compensation (none)	0
8z	Other income - no other items reported on intake	0
9	Total other income - add lines 1 through 8z	0
10	**Combine lines 1 through 9 - Additional income to Form 1040 line 8**	**0**
Part II - Adjustments to Income		
11	Educator expenses (Lisa - $730 spent; limited to $300 per educator)	300.00
12	Certain business expenses of reservists, performing artists, fee-basis officials	0
13	Health savings account deduction (Form 8889) - none	0
14	Moving expenses for members of the Armed Forces - none	0
15	Deductible part of self-employment tax - none	0
16	Self-employed SEP, SIMPLE, and qualified plans - none	0
17	Self-employed health insurance deduction - none	0
18	Penalty on early withdrawal of savings - none	0
19	Alimony paid - none	0
20	IRA deduction - none (no IRA contributions)	0
21	Student loan interest deduction - fully phased out at MFJ MAGI of $360,478 (1098-E $4,312)	0
22	Reserved / archer MSA / other - none	0
23	Archer MSA deduction - none	0
24	Other adjustments (none)	0
26	**Total adjustments to income - add lines 11 through 25 - to Form 1040 line 10**	**300.00**

Schedule 2 (Form 1040)

Additional Taxes

Attach to Form 1040 (NIIT and Additional Medicare Tax are e-filed with Forms 8960 and 8959)

Department of the Treasury - Internal Revenue Service

2024

Part I - Tax		
1	Alternative minimum tax (Form 6251) - not triggered (tentative minimum tax below regular tax; see note)	0
2	Excess advance premium tax credit repayment (Form 8962) - none	0
3	**Add lines 1 and 2 - enter on Form 1040 line 17**	**0**
Part II - Other Taxes		
4	Self-employment tax - none	0
5	Unreported Social Security and Medicare tax (Form 4137 / 8919) - none	0
6	Additional tax on IRAs or other tax-favored accounts (Form 5329) - none	0
7	Household employment taxes (Schedule H) - not applicable	0
8	Repayment of first-time homebuyer credit - none	0
11	Additional Medicare Tax (Form 8959, line 7)	930.68
12	Net investment income tax (Form 8960, line 17)	1,283.45
13	Other additional taxes - none	0
21	**Total other taxes - add lines 4 through 20 - enter on Form 1040 line 23**	**2,214.13**

AMT check (Form 6251 not filed): AMTI approx. $360,478 less AMT exemption $133,300 = $227,178. Tentative minimum tax = 26% x ($227,178 - preferential income $30,813) + 15% x $30,813 = approx. $55,677, which is below the regular tax of $62,808. No AMT.

Schedule 3 (Form 1040)

Additional Credits and Payments

Attach to Form 1040

2024

Department of the Treasury - Internal Revenue Service

Part I - Nonrefundable Credits		
1	Foreign tax credit - de minimis election, 1099-DIV box 7 (no Form 1116 required)	211.05
2	Child and dependent care expenses (Form 2441, line 13 - Robert III and Melissa)	328.00
3	Education credits (Form 8863) - none	0
4	Retirement savings contributions credit (Form 8880) - none	0
5	Residential clean energy credit (Form 5695) - none	0
6	Other nonrefundable credits (Form 3800, 8801, 8839, etc.) - none	0
7	Total other nonrefundable credits - add lines 6a through 6z	0
8	**Add lines 1, 2, 3, 4, 5, and 7 - enter on Form 1040 line 20**	**539.05**
Part II - Other Payments and Refundable Credits		
9	Net premium tax credit (Form 8962) - none	0
10	Amount paid with request for extension (Form 4868) - none	0
11	Excess Social Security and tier 1 RRTA tax withheld - none	0
12	Credit for federal tax on fuels - none	0
13	Other payments or refundable credits (Form 2439, 8885, etc.) - none	0
15	**Add lines 9 through 14 - enter on Form 1040 line 31**	**0**

Schedule 8812 (Form 1040)

Credits for Qualifying Children and Other Dependents

Attach to Form 1040. Qualifying children: under 17 at end of 2024 with SSN, and claimed as dependents.

2024

Department of the Treasury - Internal Revenue Service

Part I - Child Tax Credit		
Child 1	Robert Smith III - SSN 111-22-7777 - age 6 at 12/31/2024 - qualifies ($2,000)	2,000
Child 2	Melissa Smith - SSN 222-33-7777 - age 6 - qualifies ($2,000)	2,000
Child 3	Judith Smith - SSN 777-88-9999 - age 14 - qualifies ($2,000)	2,000
2	Number of qualifying children (under 17) - 3	3
3	Multiply line 2 by $2,000 - total child tax credit before phase-out	6,000.00
4	Modified AGI (Form 1040 line 11)	360,477.66
5	Phase-out threshold (MFJ) - $400,000	400,000.00
6	Reduction - AGI below threshold, so no reduction	0
7	Child tax credit after phase-out - line 3 minus line 6	6,000.00
8	Total tax liability limitation (Form 1040 line 18 less other nonrefundable credits)	62,269.13
14	**Nonrefundable child tax credit - smaller of line 7 or line 8 - enter on Form 1040 line 19**	**6,000.00**
Part II - Additional Child Tax Credit (refundable)		
27	**Additional child tax credit - no unused credit; line 8 limit fully absorbs the credit**	**0**

Earned income exceeds $2,500 and the family would otherwise qualify for refundable amounts; no unused credit remains, so the refundable (additional) credit is zero.

Schedule B (Form 1040)

Interest and Ordinary Dividends

Attach to Form 1040. Required because ordinary dividends exceed $1,500.

2024

Department of the Treasury - Internal Revenue Service

Part I - Interest		
1	Yellow Rose Bank (Bob 1099-INT $39.99; Lisa 1099-INT $968.20 - open item 6)	1,008.19
2	Interest from TX Lending Company (Bob 1099-INT)	107.88
4	**Total interest - add lines 1 and 2 (to Form 1040 line 2b)**	**1,116.07**
Part II - Ordinary Dividends		
5	Yellow Rose Bank - 1099-DIV (ordinary $6,744.05; qualified $4,897.86; section 199A $214.79)	6,744.05
6	**Total ordinary dividends (to Form 1040 line 3b)**	**6,744.05**
Part III - Foreign Accounts and Trusts		
7a	At any time in 2024, did you have a financial interest in or signature authority over a foreign financial account?	No
8	Did you receive a distribution from, or were you a grantor of or transferor to, a foreign trust?	No

Schedule D (Form 1040)

Capital Gains and Losses

Attach to Form 1040. Transactions reported on Form 8949 (Bob short-term Box C; Lisa long-term Box F).

2024

Department of the Treasury - Internal Revenue Service

Part I - Short-Term Capital Gains and Losses		
1a	Totals for transactions with basis reported to IRS and no adjustments (Form 8949 Box A)	0
1b	Totals - Form 8949 Box A with adjustments	0
2	Totals - Form 8949 Box B	0
3	Totals - Form 8949 Box C (Bob, L&R Investment Advisors, 11 shares)	(6,694.10)
4	Short-term gain from Form 6252 / 4684 / 6781 / 8824 - none	0
5	Net short-term gain or (loss) from partnerships, S corporations, estates, trusts - none	0
6	Short-term capital loss carryover - none	0
7	**Net short-term capital gain or (loss)**	**(6,694.10)**
Part II - Long-Term Capital Gains and Losses		
8	Totals - Form 8949 Box D	0
9	Totals - Form 8949 Box E	0
10	Totals - Form 8949 Box F (Lisa, Retro Investing Company)	32,609.03
11	Gain from Form 4797, Part I; long-term gain from Form 6252 / 4684 / 6781 / 8824 - none	0
12	Long-term gain or (loss) from partnerships, S corporations, estates, trusts - none	0
13	Capital gain distributions (1099-DIV box 2a) - none	0
14	Long-term capital loss carryover - none	0
15	**Net long-term capital gain or (loss)**	**32,609.03**
Part III - Summary		
16	**Combine lines 7 and 15 - enter on Form 1040 line 7**	**25,914.93**
17	Are lines 15 and 16 both gains? YES - go to line 18	Yes
18	28% rate gain (collectibles) - none	0
19	Unrecaptured section 1250 gain - none	0
20	Are lines 18 and 19 zero or blank? YES - skip line 21	Yes
22	Do you have qualified dividends on Form 1040 line 3a or capital gains? YES - complete Worksheet A (Qualified Dividends and Capital Gain Tax Worksheet)	Yes

Form 8949

Sales and Other Dispositions of Capital Assets

Attach to Schedule D. Basis not reported to IRS on either Form 1099-B (Box C short-term; Box F long-term). Adjustment code: none.

Department of the Treasury - Internal Revenue Service

2024

Description (1099-B)	Date acquired	Date sold	Proceeds (d)	Cost/basis (e)	Code (f)	Adj. (g)	Gain/(loss) (h)
Part I - Short-term, Box C: 11 shares EXSTCK (L&R Investment Advisors) - Bob	03/08/2024	07/06/2024	56.78	6,750.88		0	(6,694.10)
Totals Part I (Box C)			56.78	6,750.88		0	(6,694.10)
Part II - Long-term, Box F: BLU-FOR CORP shares (Retro Investing Co.) - Lisa	04/08/2019	08/25/2024	43,877.03	11,268.00		0*	32,609.03
Totals Part II (Box F)			43,877.03	11,268.00		0	32,609.03

* Wash sale: broker box 1g shows $468.41 disallowed on a transaction with a gain. Not applied pending broker confirmation (open item 2). If confirmed, enter code W and $468.41 in column (g); long-term gain becomes $33,077.44.

Totals to Schedule D: Part I Box C = (6,694.10) on line 3; Part II Box F = 32,609.03 on line 10. Net capital gain = 25,914.93.

Form 2441

Child and Dependent Care Expenses

Attach to Form 1040. Provider: Children First Child Care Center of Texas, 777 Childcare Way, Dallas, TX 75211, EIN 45-4564564.

2024

Department of the Treasury - Internal Revenue Service

Part I - Care Providers and Qualifying Persons		
1	Care provider: Children First Child Care Center of Texas - EIN 45-4564564 - total paid 2024 for all children $2,240.00	2,240.00
2	(a) Robert Smith III (age 6) - qualifying - care paid $820.00	820.00
2	(b) Melissa Smith (age 6) - qualifying - care paid $820.00	820.00
2	(c) Judith Smith (age 14) - NOT qualifying (13 or older at year-end) - $600.00 excluded	0
Part II - Credit for Child and Dependent Care Expenses		
3	Qualifying expenses incurred and paid in 2024 for qualifying persons	1,640.00
4	Dependent care benefits received (W-2 box 10) - none	0
5	Subtract line 4 from line 3	1,640.00
6	Maximum: two or more qualifying persons - limit $6,000.00	6,000.00
7	Smaller of line 5 or line 6	1,640.00
8	Earned income - Lisa (lesser of spouses earned income; Bob $234,933.74)	92,068.87
9	Earned income - Bob (for comparison)	234,933.74
10	Smaller of line 8 or line 9 (MFJ)	92,068.87
11	Adjusted gross income (Form 1040 line 11)	360,477.66
12	Decimal amount from table - AGI over $43,000 = 0.20	0.20
13	**Multiply line 7 by line 12 - credit - enter on Schedule 3, line 2**	**328.00**

Form 8959

Additional Medicare Tax

Attach to Form 1040. Medicare wages are combined for married filing jointly; threshold $250,000.

2024

Department of the Treasury - Internal Revenue Service

Part I - Additional Medicare Tax on Medicare Wages		
1	Medicare wages and tips - Bob (Company X $132,465.05; ZIXBO $102,468.69) + Lisa ($118,475.30)	353,409.04
2	Unreported tips - none	0
3	Wages from Form 8919 - none	0
4	Total Medicare wages and tips - add lines 1 through 3	353,409.04
5	Threshold - married filing jointly	250,000.00
6	Subtract line 5 from line 4 (not less than zero)	103,409.04
7	**Additional Medicare Tax - 0.9% of line 6 - Schedule 2, line 11**	**930.68**
Part II - Net Investment Income / RRTA - none		
Part III - Withholding Reconciliation		
18	Medicare tax withheld (regular 1.45%) - total from W-2s $5,124.43	5,124.43
19	Additional Medicare Tax withheld by employers (no employer exceeded $200,000)	0
24	Additional Medicare Tax withheld (line 19 total) - none; line 7 is paid with the return	0

Form 8960

Net Investment Income Tax - Individuals, Estates, and Trusts

Attach to Form 1040. MFJ MAGI exceeds the $250,000 threshold.

2024

Department of the Treasury - Internal Revenue Service

Part I - Investment Income		
1	Taxable interest (Schedule B line 4)	1,116.07
2	Ordinary dividends (Schedule B line 6)	6,744.05
3	Annuities - none	0
4a	Rental, royalty, partnership, S corporation, trust income - none	0
5a	Net gain from disposition of property (Schedule D line 16)	25,914.93
5b	Adjustments - none	0
8	**Total investment income - add lines 1 through 7**	**33,775.05**
11	Total investment expenses - none	0
12	**Net investment income - line 8 minus line 11**	**33,775.05**
Part II - Tax Computation		
13	Modified adjusted gross income (Form 1040 line 11)	360,477.66
14	Threshold - married filing jointly	250,000.00
15	Subtract line 14 from line 13 (not less than zero)	110,477.66
16	Smaller of line 12 or line 15	33,775.05
17	**Net investment income tax - 3.8% of line 16 - Schedule 2, line 12**	**1,283.45**

Form 8995

Qualified Business Income Deduction (Simplified Computation)

Attach to Form 1040. Taxable income before QBI deduction is below the MFJ threshold ($383,900), so the simplified computation is used.

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Department of the Treasury - Internal Revenue Service

1	Trade or business QBI (Schedule C, E, F) - none; no qualified business	0
2	Total qualified business income - line 1 total	0
3	Prior-year QBI loss carryforward - none	0
4	Qualified business income component: line 2 less line 3 (not less than zero)	0
5	Qualified REIT dividends and PTP income: 1099-DIV box 5 section 199A dividends (Yellow Rose Bank)	214.79
6	Total qualified business income component - line 4 plus line 5	214.79
7	**QBI component deduction - 20% of line 6**	**42.96**
8	Taxable income before QBI deduction (Form 1040 line 11 minus line 12)	331,277.66
9	Net capital gain (Schedule D line 16) plus qualified dividends (1040 line 3a)	30,812.79
10	Subtract line 9 from line 8	300,464.87
11	Taxable income limitation - 20% of line 10	60,092.97
12	**Qualified business income deduction - smaller of line 7 or line 11 - Form 1040 line 13**	**42.96**

Worksheet A

Qualified Dividends and Capital Gain Tax Worksheet (2024, married filing jointly)

Supporting worksheet for Form 1040 line 16. Retain with workpapers; not e-filed.

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Department of the Treasury - Internal Revenue Service

1	Taxable income - Form 1040 line 15	331,234.70
2	Qualified dividends - Form 1040 line 3a	4,897.86
3	Net capital gain - smaller of Schedule D line 15 ($32,609.03) or line 16 ($25,914.93)	25,914.93
4	Add lines 2 and 3 - preferential income (line 4)	30,812.79
5	Ordinary taxable income - line 1 minus line 4	300,421.91
6	Amount taxed at 0% - MFJ 0% bracket top $94,050 less line 5 (not less than zero)	0
7	Amount taxed at 15% - remainder of preferential income up to $583,750 of taxable income	30,812.79
8	Tax at 15% on line 7	4,621.92
9	Tax on ordinary taxable income (line 5) per 2024 MFJ rate schedule (see table)	58,186.26
10	**Total tax - line 8 plus line 9 - Form 1040 line 16**	**62,808.18**

Taxable income band (MFJ 2024)	Rate	Income in band	Tax
$0 - $23,200	10%	23,200.00	2,320.00
$23,200 - $94,300	12%	71,100.00	8,532.00
$94,300 - $201,050	22%	106,750.00	23,485.00
$201,050 - $300,421.91	24%	99,371.91	23,849.26
Ordinary tax total (line 9)		**300,421.91**	**58,186.26**

Worksheet B

Standard Deduction vs. Itemized Deductions (Schedule A not filed)
Supporting analysis. Standard deduction produces the lower taxable income.

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Schedule A item	Amount ($)	Support / note
Medical expenses (LTC premiums $11,000 less 7.5% of AGI floor $27,035.82)	0	LTC premiums not deductible at this AGI; age-limited amount $880 per person
State and local taxes - Texas has no income tax; real estate taxes $6,748.32	6,748.32	Under $10,000 SALT cap
Home mortgage interest (Form 1098, box 1)	17,678.69	Scanned Form 1098; loan origination 5/6/2020 (acquisition debt limit $750,000 applies)
Gifts to charity - cash to American Red Cross (Sept 2024)	2,500.00	Acknowledgment required if itemizing
Gifts to charity - church $150 x 12 months	1,800.00	Acknowledgments required if itemizing
Total itemized deductions	**28,727.01**	
Standard deduction - married filing jointly 2024	**29,200.00**	**Greater - standard deduction used**
Difference (standard minus itemized)	472.99	Standard deduction is $472.99 more favorable

Note: the LTC premium line is zero here. If the 2023 (or any future) return itemizes, LTC premium limits by age (2024: $880 for ages 41-50, which covers both spouses) apply and the medical floor must be exceeded.

Worksheet C

Payments, Withholding and Preliminary Underpayment Estimate

Supporting worksheet. Preliminary only: Form 2210 cannot be finalized without 2023 total tax.

Department of the Treasury - Internal Revenue Service

2024

Payment / withholding	Date	Amount ($)
Withholding - Bob, Company X (W-2 box 2)	2024	9,642.23
Withholding - Bob, ZIXBO Services Group (W-2 box 2)	2024	7,465.85
Withholding - Lisa, Compress Middle School (W-2 box 2)	2024	8,286.20
Total federal withholding		**25,394.28**
Estimated payment - Q1	04/02/2024	3,380.00
Estimated payment - Q2	07/04/2024	3,275.00
Estimated payment - Q3	10/02/2024	3,455.00
Estimated payment - Q4 (paid 1/5/2025 for tax year 2024)	01/05/2025	3,575.00
Total estimated payments		**13,685.00**
TOTAL PAYMENTS (Form 1040 line 33)		**39,079.28**
Total tax (Form 1040 line 24)		**58,483.26**
90% of 2024 total tax (current-year safe harbor)		52,634.93
Preliminary underpayment exposure (safe harbor shortfall)		13,555.65
Preliminary estimated penalty at 8%, daily, through 4/15/2025 (no prior-year safe harbor assumed)		**578.25**

Method: installments of 25% of the 90% safe-harbor amount due 4/15, 6/17, 9/16 and 1/15; withholding deemed paid evenly by month; payments applied to the earliest unpaid installment; 8% annual rate. If the 2023 tax safe harbor (110% of 2023 tax, AGI over $150,000) is met, no penalty applies. The 1040 line 38 is left at zero pending the 2023 comparison and Form 2210 decision.

Form 8879

IRS e-file Signature Authorization (Form 1040, 2024)

Taxpayers sign and retain. Not transmitted. PINs chosen by taxpayers; the preparer does not enter them.

2024

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Line	Description	Amount ($)
1	Adjusted gross income (Form 1040 line 11)	360,477.66
2	Total tax (Form 1040 line 24)	58,483.26
3	Federal income tax withheld (Form 1040 line 25d)	25,394.28
4	Refund (Form 1040 line 35a)	0
5	Amount you owe (Form 1040 line 37)	19,403.98

Taxpayer declaration: Under penalties of perjury, we declare that we have examined a joint 2024 income tax return, including accompanying schedules and statements, and to the best of our knowledge and belief it is true, correct, and complete.

Taxpayer 1 (Robert Smith Jr.) PIN: _____ Signature: _____ Date: _____

Taxpayer 2 (Lisa Marie Smith) PIN: _____ Signature: _____ Date: _____

ERO firm name / PTIN: _____ ERO signature: _____ Date: _____

Authorization: Taxpayers authorize the e-file provider to enter or generate the PIN on Form 1040 and to transmit the return to the IRS. Keep this form with the client file for three years.